

developers would see the holes in its design), and it was not based on a public ledger, so no transactions could be tracked.¹²

The community responded with reports of OneCoin as a Ponzi scheme. One of the best articles on the topic, which received nearly 300,000 views and over 1,000 comments, was loud and clear: “Buyer Beware! The Definitive OneCoin Ponzi Exposé.”¹³ The Swedish Bitcoin Foundation stepped up to the plate as well, with warnings about OneCoin as a “pyramid” and a “fraud.” The Financial Conduct Authority in the United Kingdom also warned investors against OneCoin.¹⁴ The swift action revealed the strength of a self-policing, open-source community in pursuit of the truth.

To warn investors against Ponzi schemes like OneCoin, the SEC released a memo titled “Investor Alert: Ponzi Schemes Using Virtual Currencies.” The memo warned that cryptoassets can be an easy way for scammers to disguise pyramid schemes.¹⁵ Investors should still consider this alert, not in thinking of bitcoin as a scam but in recognizing that scams may masquerade as cryptoassets. Here are a few of the most important ways to recognize a Ponzi scheme:

- Overly consistent returns
- Secretive and/or complex strategies and fee structures
- Difficulty receiving payments
- Comes through someone with a shared affinity

Just as investors duped by the allure of Latin American bonds should have been more cautious, the innovative investor needs